



Orey Analytics

Retail Intelligence Executive Summary

Period: 2022 – 2025

Strategic Performance, Forecasting and Operational Risk Assessment

Executive Overview

Orey Analytics evaluated over four years of retail operations, identifying a financially strong and operationally resilient business generating **R379.4M in revenue**, **R322.6M in net revenue**, and **R105.1M in profit**.

Average profit margins remained strong at 32.5%, while average monthly revenue and profit reached R7.9M and R2.19M respectively. Operational performance remained stable, supported by manageable **return rates (7.94%)** and **low stockout exposure (2.45%)**. Despite overall strength, **revenue growth declined marginally by 1.9%** across the reporting period, signaling moderate top-line pressure.

Forecasting & Forward Outlook

Advanced forecasting models produced highly reliable predictive performance with a **0.71% MAPE**, supported by **rolling RMSE of R234K** and **MAE of R182K**, indicating strong confidence in forward planning.

6-Month Forecast

- Projected Revenue: **R47.15 million**
- Projected Profit: **R13.14 million**

This suggests continued profitability with stable forward demand, though **management should monitor slight top-line contraction and seasonal weaknesses**.

Commercial Performance Insights

Category Performance: Clothing was the strongest-performing category, generating **R76.2M** in revenue. Beauty, Electronics, Food and Home categories delivered consistently strong performance, reflecting a diversified revenue base.

Sales Channels:

- In-Store Revenue Share: 50.3%
- Online Revenue Share: 49.7%

This balanced omnichannel structure reduces concentration risk while improving commercial flexibility.

Customer Segments: Revenue distribution remained highly balanced across High, Mid, and Low customer segments, with the High segment leading marginally.

Operational & Risk Findings

Product & Store Performance: Top-performing products significantly outperformed lower-tier SKUs, indicating **opportunities for assortment optimization and underperforming product rationalization**.

15 stores flagged as High Risk, primarily driven by **elevated return rates** rather than severe stockout exposure. Despite being profitable overall, **targeted operational intervention is recommended** for vulnerable locations.

Inventory & Supply Chain Health

Inventory performance remains a major strength. All major categories classified as healthy, low average stockout exposure, efficient overall supplier lead times.

However, **26 suppliers were flagged as High Risk**, with suppliers **290, 319** and **262** showing the highest stockout exposure. These suppliers present moderate supply continuity risks and may require procurement diversification or closer supplier management.

Seasonal & Strategic Risks

Weak Sales Periods: **February, June, September.** These months consistently underperform and should be prioritized for **promotional strategy, inventory balancing and proactive cash flow management.**

Key Strategic Risks:

- Mild revenue contraction
- Seasonal sales volatility
- High-risk store clusters
- Supplier bottlenecks
- Category concentration in Clothing

Final Assessment

The Retail Intelligence framework demonstrates a financially healthy and operationally mature retail business supported by:

- Large-scale revenue generation
- Strong profitability
- High forecasting accuracy
- Balanced sales channels
- Healthy inventory systems

Future optimization should **focus on supplier resilience, store-level operational improvements, and proactive seasonal risk management** to sustain long-term growth and scalability